

Avation (LSE: AVAP) — why we passed on the half-book aircraft lessor everyone screens

No position. We worked this up intending to buy and talked ourselves out of it; the reasons matter more than the verdict, so here's the full work. Written 6 August 2026. Not investment advice.

What we believe (the pitch that got our attention)

A London-listed aircraft lessor at ~138p versus stated NAV of £2.74 — half book — with the scary 2026 bond maturity already refinanced to 2031, ten unencumbered aircraft, credit upgrades from two agencies, and a chairman-controller who has retired ~10% of the share count in a year. Book value even looked independently *verified*: an insurer settled a destroyed aircraft at book, and several planes sold above book. On a screen, this is the textbook orphan value stock.

What the market believes

At \$57k/day of trading volume, “the market” here is mostly the company’s own buyback. The flat price could mean neglect (bullish) or could mean the few people who’ve done the work concluded what we eventually did. The visible skeptic case: lessors are leveraged spread businesses, and this one’s spread looks thin.

Why we might have had an edge — and why it evaporated

The candidate edge was the classic uncovered-name one: nobody computes NAV here, so “half book” might be conservative. The work ran the other way. The statutory cash-flow statement, the warrant note, and the equity decomposition (table below) each subtracted from the story until the remaining thesis was “a fairly-priced junior claim behind a better-paying senior claim.” Our best genuinely-contrarian finding was on the *bear* side being overdone (the airBaltic panic — see table), but repairing a false bear doesn’t create a bull.

Why it’s priced in

One number: the fleet earns about **6.7%** net while marginal borrowing costs **8.5%**. When the senior claim (the 2031 bonds, at 8.5%) pays more than the business earns on assets, the equity below it is priced about right at *any* NAV discount — the discount is the market charging for the spread, the 13% warrant overhang, the controller, and the exit door. If you like this risk, the bonds are the better seat.

What we checked ourselves (not just read)

Claim	How we checked	What we found	Verdict
“~14% shareholder yield funded by the business”	The statutory cash-flow statement, H1-FY26	Operating cash flow was negative \$1.0M ; buyback+dividend+capex were	Refuted

Claim	How we checked	What we found	Verdict
		funded by \$85.8M of aircraft sales (mostly one 777). The investor deck headlines “\$39.9M operating cashflow” — a pre-working-capital line, 40x the statutory figure	
“Half book”	Rebuilt equity three ways from the annual-report notes	Reported: 0.50x. Ex-revaluation surplus (company-disclosed): ~0.69x. Also ex-the \$86M option-valuation asset (which rating agencies exclude from equity): ~ 1.34x tangible cost-basis book (~103p/share)	Refuted as stated — it’s a range, and the pitch quotes the friendly end
Buyback compounds NAV/share	Half-year NAV arithmetic	NAV/share +1.09% in a half when the buyback alone contributes +2.64% — operations <i>destroyed</i> ~1.6%	Refuted
Warrant overhang	Annual-report warrant note + grant announcements	13.28% of capital in warrants with <i>no performance conditions</i> ; a 7% slug in the money expiring 31 October; the chairman holds 20.5% on full exercise	Confirmed
“The insurance payout proved book value”	The results call transcript + interim accounts	The \$33.4M settlement carried ~\$19M of debt against the aircraft — net ~\$14M to equity; and 61% of book (the narrowbody jets) has no transaction evidence at all	Refuted as corroboration
“The #2 customer is going bust” (the bear panic)	The airline’s own interim accounts + Latvian aviation law + treaty records	Going-concern warning is real — but Latvia adopted the strongest form of the aircraft-repossession treaty (~60 days to recover), the A220 is scarce (backlog exceeds all deliveries ever), and when a previous customer failed, Avation released the planes to Finnair within months	Bear overdone — repossession risk is weeks of downtime, not stranded metal
Where the cash is going	Order announcements + management statements	~\$265M of new aircraft on firm order, to be funded “from organic cash flows” — the cash has a job, and it isn’t a take-private	Confirmed
The spread	Fleet yield vs funding cost from the accounts	~6.7% net asset yield vs 8.5% marginal unsecured cost	Confirmed — the decisive fact

What would change our mind

A full year of statutory operating cash flow ($\geq \$60\text{M}$) actually funding the buyback; a narrowbody sold at book; the October warrants expiring unexercised. We’ll re-read it then — this is a “not at this structure,” not a “never.”

Sources: Avation FY2025 annual report (warrants, revaluation, receivables notes); H1-FY2026 interims and cash-flow statement; RNS record incl. 13-Jul-2026 trading update and buyback notices; results-call transcript 26-Feb-2026; Fitch/S&P actions Nov-2025/May-2026; airBaltic Q1-2026 interim statements; Latvian aviation law and Cape Town Convention records.